

China Spacesat Co. 600118.SS 600118 CH

EQUITY: TECHNOLOGY

1H26: improvement in revenue and margin

Revenue grew on contract acceptance; contract liabilities up 69.5%; scale benefit remains distant

1H26: Revenue, margin and opex leverage all improve

China Spacesat reported 1H26 results on 19 August 2026. Revenue grew 42.7% y-y to CNY1,885mn. The company attributed the increase to a larger number of satellite manufacturing contracts reaching acceptance conditions. 1H26 gross margin was at 18.8%, up 6.0pp y-y to CNY354mn. The improvement was backed by scale advantage. 1H26 opex in absolute terms was maintained at a stable level y-y, and the opex ratio declined by 5.3pp y-y to 11.9%. We believe the flat absolute expense base is the more durable half of the improvement, as the acceptance timing is not repeatable at will. 1H26 impairment loss grew to CNY121.7mn, vs. CNY5.3mn in 1H25, which the company attributed to an increase in over-two-year receivables from general customers at subsidiaries. Together, the three effects lifted the net profit to CNY66mn, vs. CNY19mn in 1H25.

Contract liabilities up 69.5%; reuse to unlock the satellite volume in the long-term

We expect the sales growth momentum to continue into 2H26F and in the long-term: i) contract liabilities rose 69.5% and inventory 35.8% vs. end-2025, with the latter for the in-progress development projects; and ii) we see China's constellation projects as the direct demand driver for Spacesat's order book. What has changed recently is the supply side of that equation, in our view. China completed 44 launch missions in 1H26, a record level for the period, and two orbital-class first stages were recovered within six weeks (*Zhuque-3 completes China's 1st land recovery; Net catch: China's original route to rocket reuse*). Although recovery is not yet reuse, the first stage is roughly 60-65% of vehicle cost, and our industry survey sees batch reuse taking domestic launch economics to CNY8,000-10,000/kg in 2029-31E, from currently around CNY60,000/kg, which should increase the satellite build rates, in our view.

Maintain Neutral and lower TP to CNY65 on rich valuation

We maintain Neutral rating and lower TP to CNY65 (from CNY80), as we believe the current valuation is rich. Though the scale benefit could remain distant, we factor in the recent supply side improvement; thus, we increase 2026/27/28F EPS to CNY0.10/0.16/0.26 from CNY0.05/0.14/0.20. Our new TP is based on 6x 2028F P/S (vs previous 10x 2028F P/S), at +0.5x SD of its 10-year historical average P/S at 5x, supported by 2025-28F sales CAGR at 26%. The stock currently trades at 6x 2028F P/S.

Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	6,103	7,289	7,385	8,383	9,137	9,473	12,221
Reported net profit (mn)	36	61	122	169	190	235	312
Normalised net profit (mn)	36	61	122	169	190	235	312
FD normalised EPS	3.01c	5.20c	10.35c	14.27c	16.08c	19.84c	26.42c
FD norm. EPS growth (%)	50.3	73.0	244.3	174.5	55.3	39.0	64.4
FD normalised P/E (x)	2,043.7	–	593.5	–	382.2	–	232.5
EV/EBITDA (x)	224.0	–	122.6	–	118.0	–	92.5
Price/book (x)	9.0	–	8.4	–	7.1	–	5.5
Dividend yield (%)	0.0	–	0.1	–	0.1	–	0.2
ROE (%)	0.4	0.7	1.5	1.9	2.0	2.3	2.7
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash	net cash	net cash

Source: Company data, Nomura estimates

Rating Remains **Neutral**

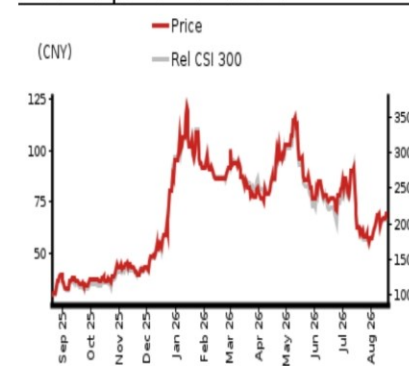
Target price Reduced from CNY 80.00 **CNY 65.00**

Closing price 20 August 2026 **CNY 61.44**

Implied upside **+5.8%**

Market Cap (USD mn) 10,805.4
ADT (USD mn) 560.8

Relative performance chart



Source: LSEG, Nomura

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Key data on China Spacesat Co.

Performance

(%)	1M	3M	12M		
Absolute (CNY)	3.3	-28.9	106.5	M cap (USDmn)	10,805.4
Absolute (USD)	4.0	-28.0	120.6	Free float (%)	48.5
Rel to CSI 300	3.5	-23.5	99.1	3-mth ADT (USDmn)	560.8

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	5,156	6,103	7,385	9,137	12,221
Cost of goods sold	-4,569	-5,596	-6,521	-8,214	-10,926
Gross profit	588	506	864	923	1,295
SG&A	-551	-547	-675	-749	-1,002
Employee share expense					
Operating profit	37	-41	188	174	293
EBITDA	428	318	578	595	746
Depreciation	-202	-187	-206	-225	-244
Amortisation	-189	-172	-184	-197	-209
EBIT	37	-41	188	174	293
Net interest expense	5	-1	3	3	4
Associates & JCEs					
Other income	-102	59	-77	35	50
Earnings before tax	-60	17	114	211	347
Income tax	30	7	7	-21	-35
Net profit after tax	-31	24	121	190	312
Minority interests	59	12	1	0	0
Other items					
Preferred dividends					
Normalised NPAT	28	36	122	190	312
Extraordinary items					
Reported NPAT	28	36	122	190	312
Dividends	-12	-14	-49	-76	-125
Transfer to reserves	16	21	74	114	188

Valuations and ratios

Reported P/E (x)	3,070.9	2,043.7	593.5	382.2	232.5
Normalised P/E (x)	3,070.9	2,043.7	593.5	382.2	232.5
FD normalised P/E (x)	3,070.9	2,043.7	593.5	382.2	232.5
Dividend yield (%)	0.0	0.0	0.1	0.1	0.2
Price/cashflow (x)	—	200.0	118.7	76.4	46.5
Price/book (x)	9.0	9.0	8.4	7.1	5.5
EV/EBITDA (x)	166.2	224.0	122.6	118.0	92.5
EV/EBIT (x)	1,926.1	—	376.5	404.5	235.2
Gross margin (%)	11.4	8.3	11.7	10.1	10.6
EBITDA margin (%)	8.3	5.2	7.8	6.5	6.1
EBIT margin (%)	0.7	-0.7	2.6	1.9	2.4
Net margin (%)	0.5	0.6	1.7	2.1	2.6
Effective tax rate (%)	—	-42.8	-6.5	10.0	10.0
Dividend payout (%)	42.3	39.9	39.9	39.9	39.9
ROE (%)	0.3	0.4	1.5	2.0	2.7
ROA (pretax %)	0.3	-0.4	1.6	1.3	1.8

Growth (%)

Revenue	-25.1	18.4	21.0	23.7	33.8
EBITDA	-13.7	-25.6	81.8	2.9	25.4
Normalised EPS	-84.6	50.3	244.3	55.3	64.4
Normalised FDEPS	-84.6	50.3	244.3	55.3	64.4

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	428	318	578	595	746
Change in working capital	-654	80	-230	-879	-1,461
Other operating cashflow	-91	-35	264	1,234	2,277
Cashflow from operations	-317	363	612	950	1,562
Capital expenditure	-207	-211	-200	-200	-200
Free cashflow	-523	152	412	750	1,362
Reduction in investments	0	0	0	0	
Net acquisitions					
Dec in other LT assets	-110	-103	-140	-247	
Inc in other LT liabilities	-16	0	0	0	
Adjustments	-6	-425	103	140	247
CF after investing acts	-529	-399	412	750	1,362
Cash dividends	-12	-14	-49	-76	-125
Equity issue					
Debt issue	5	258	0	0	0
Convertible debt issue					
Others	-142	287	0	0	0
CF from financial acts	-149	531	-49	-76	-125
Net cashflow	-678	132	363	675	1,237
Beginning cash	2,436	1,758	1,890	2,253	2,928
Ending cash	1,758	1,890	2,253	2,928	4,165
Ending net debt	0	-1,395	-1,758	-2,433	-3,670

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	1,758	1,890	2,253	2,928	4,165
Marketable securities					
Accounts receivable	2,013	2,229	2,428	3,004	4,018
Inventories	5,299	4,713	5,327	6,721	8,940
Other current assets	496	511	618	765	1,023
Total current assets	9,566	9,343	10,626	13,417	18,146
LT investments					
Fixed assets	2,046	1,961	1,861	1,761	1,661
Goodwill	0	0	0	0	0
Other intangible assets	1,245	1,409	1,409	1,409	1,409
Other LT assets	379	489	592	733	980
Total assets	13,237	13,201	14,487	17,319	22,195
Short-term debt	238	490	490	490	490
Accounts payable	3,145	2,943	3,374	4,257	5,662
Other current liabilities	1,415	1,341	1,601	1,956	2,581
Total current liabilities	4,799	4,775	5,465	6,703	8,733
Long-term debt	0	5	5	5	5
Convertible debt					
Other LT liabilities	356	339	339	339	339
Total liabilities	5,154	5,119	5,809	7,047	9,077
Minority interest					
Preferred stock					
Common stock	3,152	3,154	3,154	3,154	3,154
Retained earnings	3,178	3,200	3,274	3,388	3,576
Proposed dividends					
Other equity and reserves	1,752	1,728	2,251	3,730	6,388
Total shareholders' equity	8,082	8,082	8,678	10,272	13,117
Total equity & liabilities	13,237	13,201	14,487	17,319	22,195

Liquidity (x)

Current ratio	1.99	1.96	1.94	2.00	2.08
Interest cover	—	-32.2	—	—	—

Leverage

Net debt/EBITDA (x)	net cash	net cash	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash

Per share

Reported EPS (CNY)	2.00c	3.01c	10.35c	16.08c	26.42c
Norm EPS (CNY)	2.00c	3.01c	10.35c	16.08c	26.42c
FD norm EPS (CNY)	2.00c	3.01c	10.35c	16.08c	26.42c
BVPS (CNY)	6.84	6.83	7.34	8.69	11.09
DPS (CNY)	0.01	0.01	0.04	0.06	0.11

Activity (days)

Days receivable	142.5	126.9	115.1	108.5	105.1
Days inventory	425.1	326.5	281.0	267.7	262.3
Days payable	252.3	198.5	176.8	169.5	166.1
Cash cycle	315.3	254.8	219.3	206.6	201.3

Source: Company data, Nomura estimates

Company profile

China Spacesat Co.,Ltd. engages in the research and development, design, manufacture, sale, and information servicing of aerospace technology applications and related products. It also manufactures and sells satellite application technology equipment, as well as provides satellite application services.

Valuation Methodology

Our TP of CNY65 is based on 6x 2028F P/S,+0.5x SD of its 10-years historical average P/S at 5x, which is supported by its 2025-28F sales CAGR at 26% and a growing total addressable market for satellite. Driven by the solid growth in LEO (Low Earth Orbit) satellite market, we expect the company is a direct beneficiary of accelerated deployment of constellation and overseas business expansion, and will likely lead to a valuation re-rating backed by growing demand and mix change anchored by constellation projects. The benchmark index is CSI300.

Risks that may impede the achievement of the target price

Downside risks include: 1) downstream demand falling short of expectations; 2) slower-than-expected aerospace development due to technology progress, macroeconomic environment, and policy risks; and 3) intensified competition in aerospace sector. Upside risks include: 1) accelerated mega-constellation roll-out; and 2) better-than-expected contributions from satellite applications.

ESG

China Spacesat demonstrates commitment to ESG by 1) promoting the ESG concepts into corporate development and improving ESG management and disclosure; 2) strengthening environmental management of its production and operation activities; and 3) improving energy-use efficiency, and optimizing resources utilisation if production processes.

Appendix A-1

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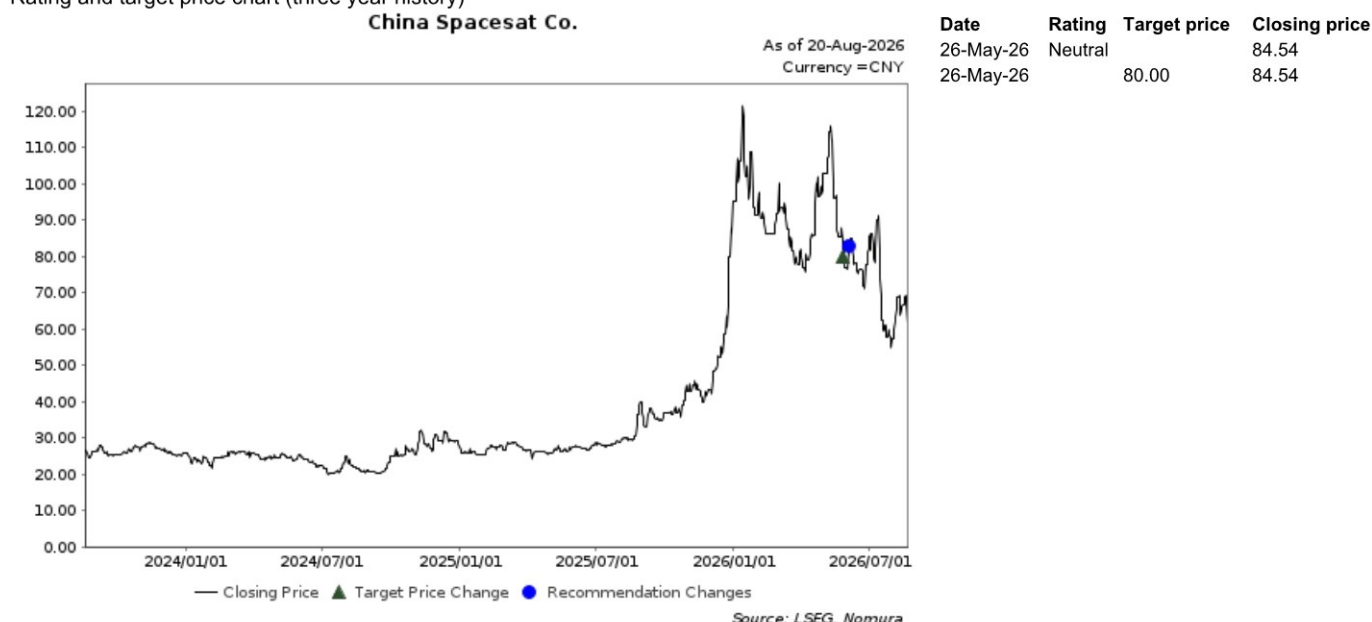
Materially mentioned issuers

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
China Spacesat Co.	600118 CH	CNY 61.44	20-Aug-2026	Neutral	N/A	

China Spacesat Co. (600118 CH)

CNY 61.44 (20-Aug-2026) Neutral (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

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As at 30 June 2026.

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